STUDY

India B2B Payments: Market Size & Share Leaders

A study focused on the evolving dynamics of India's B2B payments market, detailing market size, growth drivers, and competitive positions, aimed at investors and professionals.

August 2026

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STUDY REPORT

India B2B Payments: Market Size & Share Leaders

Executive Summary

Finding 1 — Digital public infrastructure is the market's core advantage

India's B2B payments market is built around domestic business flows such as invoice-linked collections, supplier payouts, business disbursements, and marketplace settlement. Public digital infrastructure—including India Stack, GST digitization, and the Account Aggregator framework—reduces cost and operational friction and enables a software-plus-rails ecosystem beyond basic transaction processing.

Finding 2 — Two-rail architecture splits value and volume

The market operates on distinct wholesale-value and retail-volume rails. RTGS dominates large-value treasury and inter-corporate payments despite a small share of transaction count, while UPI leads by number of transactions and is central to operational payments and medium-sized collections, though its share by value remains comparatively low.

Finding 3 — Enterprise segment needs are highly differentiated

Payment behavior varies materially by enterprise size, sector, transaction size, and regional digitization levels. Large corporates prefer API- and ERP-centric models, while smaller firms—especially outside major urban centers—lean toward UPI and GST-linked workflows for agility and lower complexity; metropolitan regions are ahead of smaller cities in payment innovation.

Finding 4 — BNPL and embedded finance are emerging growth layers

B2B BNPL and embedded finance are becoming important extensions of the payments stack, particularly for small businesses facing working-capital constraints. The segment is expected to grow quickly as financial services are embedded directly into supply-chain and transaction workflows.

Finding 5 — Competition is fragmented and shifting toward integrated workflows

The competitive landscape includes banks, full-stack gateways, niche providers, and fintechs competing across infrastructure and workflow layers. Full-stack gateways face pressure from specialists focused on AP automation and embedded finance, while banks and fintechs are increasingly partnering to combine resilient infrastructure with stronger user experience.

Finding 6 — Growth outlook is positive, but execution depends on compliance and digitization

The market outlook is favorable, supported by digital workflow automation, formalization, and investment themes in areas such as agri-commerce and government procurement. However, regulatory compliance, security risks, and manual processing inefficiencies—especially for MSMEs—remain significant constraints on the speed and reliability of digital transformation.

1

Market Overview and Structural Context

1

Market Overview and Structural Context

India's B2B payments market should be defined narrowly as domestic business payment flows between enterprises, suppliers, distributors, platforms, lenders, and government counterparties, rather than as the full universe of consumer digital payments. In practice, the market spans invoice-linked collections, supplier payouts, payroll-adjacent business disbursements, tax and compliance payments, marketplace settlement, and embedded working-capital flows executed over bank transfer rails, UPI, cards, and software-led payment orchestration layers.[11, 14, 50]

Structurally, India is unusual because public digital infrastructure has compressed onboarding, authentication, data sharing, and payment acceptance costs across the stack. India Stack components, GST-linked digitisation, the Account Aggregator framework, and RBI-led payment regulation together reduce frictions in KYC, invoice verification, consented cash-flow underwriting, and settlement, which is why the market is best analysed as a software plus rails ecosystem rather than as a pure transaction-processing industry.[12, 18, 33]

1.1

Scope and Ecosystem

- Market scope: India's B2B payments market covers domestic business-to-business money movement tied to procurement, invoicing, collections, supplier settlement, distributor financing, payroll-related business disbursements, tax remittances, and marketplace settlement. It excludes most pure consumer P2P activity, but includes business-originated use of retail rails such as UPI when the underlying transaction is commercial.[11, 22]
- Core payment rails: High-value corporate transfers continue to run primarily on RTGS and NEFT, while UPI is increasingly used for low-ticket and mid-ticket merchant and business collections, especially among MSMEs and platform-led commerce. IMPS remains relevant for always-on bank transfers, while cards, prepaid instruments, and cheque-based workflows persist in specific acceptance and reconciliation contexts.[14, 13, 24]
- Ecosystem participants: The market includes regulated banks, NPCI-operated or NPCI-linked payment infrastructure, payment aggregators and gateways, ERP and accounting software vendors, B2B marketplaces, invoice and AP-AR automation platforms, NBFCs and fintech lenders, and public infrastructure entities such as GSTN. For investors, the key structural point is that value capture is distributed across acceptance, orchestration, reconciliation, compliance, and credit rather than concentrated only in transaction switching.[50, 12, 18]
- Operating model distinction: Large enterprises typically optimise treasury, ERP integration, and straight-through processing, whereas MSMEs prioritise ease of acceptance, instant settlement, and access to working capital. This creates a bifurcated market in which banks remain strong in high-value account-to-account flows, while fintechs gain share in software-led collections, embedded finance, and workflow integration.[11, 17]

1.2

Macro Enablers

- India Stack: India's digital public infrastructure lowers customer acquisition and compliance costs through interoperable identity, authentication, document, and payment layers. In B2B payments, the most commercially relevant pieces are UPI for low-friction transfers, DigiLocker and eKYC-linked workflows for onboarding, and paperless consent-based data exchange that supports faster merchant activation and credit underwriting.[33, 41, 46]

- GST network: GSTN is a major formalisation engine because it digitises B2B invoicing, return filing, and tax trail creation across a very large taxpayer base. Its e-invoicing architecture is strategically important for B2B payments because it creates machine-readable transaction evidence that can be used for reconciliation, fraud checks, invoice financing, and embedded credit decisioning.[50, 43]
- Account Aggregator framework: The AA network was introduced under RBI's 2016 NBFC-AA directions and allows consented financial data sharing between Financial Information Providers and Financial Information Users. The Department of Financial Services states that eligible FIPs can include banks, NBFCs, insurers, depositories, GSTN and other entities identified by RBI, making AA especially relevant for MSME underwriting based on bank statements, GST data, and cash-flow records rather than collateral alone.[12, 31]
- RBI regulatory architecture: RBI remains the central rule-setter for payment systems, KYC, settlement, and licensing, which gives the market unusually high policy coherence relative to many emerging markets. Its architecture matters not only because it supervises payment system operators and regulated entities, but because it shapes product economics through rules on onboarding, interoperability, recurring payments, transaction limits, and payment aggregator regulation.[18, 35, 26]
- Strategic implication: These enablers collectively shift competition away from basic payment access toward workflow ownership, data advantage, and credit conversion. The strongest platforms are therefore those that can combine GST-linked transaction context, AA-based consented data, and low-cost payment rails into integrated payables, receivables, and financing products.[12, 50, 11]

1.3
Market Sizing

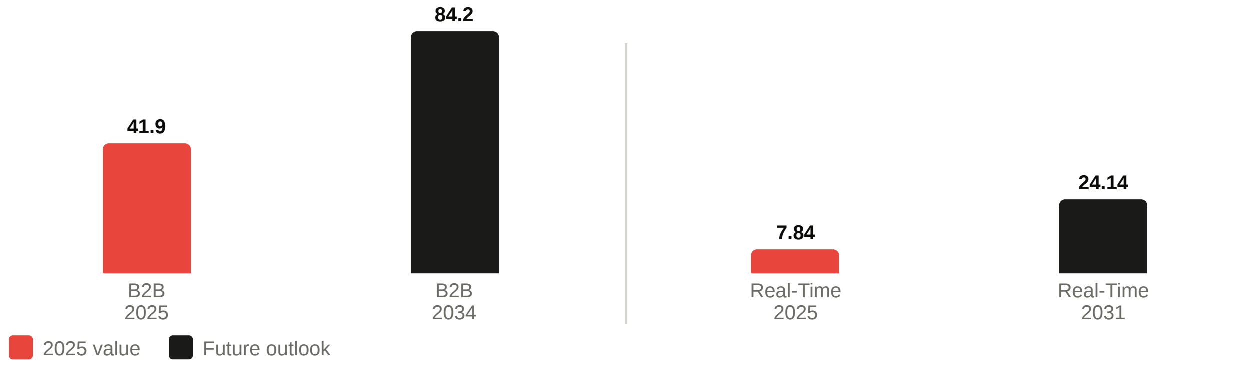
India's B2B payments market is quoted at materially different sizes because analysts are often measuring different layers of the value chain. Some estimates refer to revenue pools earned by payment providers, some to software-plus-payments market value, and others to transaction-led real-time payments sub-segments, so the figures are not directly interchangeable.[11, 17]

Title — India B2B payments sizing benchmarks

SOURCE	METRIC	2025 VALUE	2030 OR 2034 OUTLOOK
IMARC	India B2B payments market size, USD bn	41.9	84.2 by 2034
Mordor Intelligence	India real-time payments market size, USD bn	7.84	24.14 by 2031
NPCI	UPI monthly volume, bn transactions, May 2026	23.20	Not a market-size estimate
PIB citing UPI ecosystem	Share of UPI in India digital payments, FY2025-26	85%	Not a market-size estimate

Source: [11, 17, 22, 20]

MARKET SIZE GROWTH: 2025 VS FUTURE OUTLOOK (USD BILLION)



GROWTH MULTIPLES (CURRENT → OUTLOOK)

UPI ECOSYSTEM INDICATORS (FY2025-26)

- IMARC benchmark: IMARC states that the India B2B payments market reached USD 41.9 billion in 2025 and projects USD 84.2 billion by 2034 at a 7.64% CAGR. This is best interpreted as a broad market-value estimate for the B2B payments industry, likely incorporating service layers around payment processing rather than the gross value of underlying transactions, which would be vastly larger.[11]
- Real-time sub-segment benchmark: Mordor Intelligence values the India real-time payments market at USD 7.84 billion in 2025, rising to USD 24.14 billion by 2031, and notes that P2B represented 28.45% of transaction-type share in 2025 while being the fastest-growing segment at 23.85% CAGR. This should be treated as a narrower subset focused on real-time payment economics rather than the full B2B payments stack.[17]
- Reconciliation of estimates: The apparent gap between USD 41.9 billion and USD 7.84 billion is therefore not necessarily a contradiction. The former is a broad India B2B payments market estimate across rails and service layers, while the latter is a real-time payments sub-segment that includes but does not exhaust B2B payment activity.[11] [17]
- Bottom-up reality check: RBI and NPCI operating data support the view that underlying payment throughput is enormous and still expanding, which means vendor market-size estimates are almost certainly measuring monetisable revenue pools or platform economics rather than transaction value. NPCI reports 23,201.93 million UPI transactions in May 2026 alone, while RBI's payment indicators show UPI's scale and RTGS's continued dominance in value terms, reinforcing that market-sizing reports must be read as industry-value proxies, not flow-of-funds totals.[22] [14] [24]
- Investor interpretation: For valuation work, the most defensible approach is to separate three layers. Use transaction-system data from RBI and NPCI for throughput, use analyst estimates

such as IMARC for broad industry TAM framing, and use narrower estimates such as Mordor for high-growth monetisation pools in real-time and software-embedded payment use cases.[14] [11] [17]

2

Payment Rails: Volume, Value, and Structural Roles

2

Payment Rails: Volume, Value, and Structural Roles

India's B2B payments stack is best understood as a split between value-dominant wholesale rails and volume-dominant retail rails. RTGS remains the core infrastructure for treasury, inter-corporate, and large supplier payments, while UPI has become the default rail for high-frequency collections and lower-ticket business payments, especially among MSMEs and platform-led merchants.[62] [22] [20]

For investors, the structural implication is that no single rail "wins" across all B2B use cases. The market is instead stratified by ticket size, urgency, reconciliation needs, and software integration, which is why RTGS retains disproportionate economic importance even as UPI dominates transaction counts and legacy instruments such as NEFT, IMPS, cheques, and trade credit continue to serve transitional roles.[18] [71] [17]

2.1

RTGS Dominance

RTGS remains the anchor rail for high-value B2B payments because it is designed for real-time gross settlement of large-ticket transfers and is therefore embedded in treasury operations, corporate vendor settlements, capital-market linked flows, and time-critical interbank and enterprise payments. RBI payment indicators for February 2025 show RTGS processed 244.20 lakh transactions worth ₹1,60,99,371 crore in that month alone, underscoring the enormous throughput concentrated in a relatively small number of transfers.[62]

- Value concentration: RBI's latest payment system reporting, as cited in May 2026 coverage of the December 2025 report, shows RTGS accounted for only 0.1% of payment transaction volume but 68.6% of total transaction value in India, confirming that wholesale flows still dominate monetary throughput even as retail rails dominate counts.[81] [82]
- Structural role: In B2B contexts, RTGS is the preferred rail where payment finality, immediate settlement, and large-value risk management matter more than user-interface simplicity. This makes it especially resilient in corporate treasury, institutional procurement, and high-value supplier ecosystems even as other rails gain share in operational payments.[18] [92]
- Investor implication: RTGS's tiny volume share can obscure its strategic importance. Providers that integrate approval workflows, ERP connectivity, liquidity controls, and automated reconciliation around RTGS can monetize mission-critical enterprise payment operations despite lower transaction counts.[18] [52]

Title — India payment rails by structural role

RAIL	TYPICAL B2B ROLE	VOLUME PROFILE	VALUE PROFILE
RTGS	Treasury, high-value supplier and institutional transfers	Very low	Dominant
UPI	Collections, merchant acceptance, MSME and platform payments	Very high	Low to moderate
NEFT	Scheduled account-to-account business transfers	Moderate	Moderate to high

RAIL	TYPICAL B2B ROLE	VOLUME PROFILE	VALUE PROFILE
IMPS	Urgent 24×7 bank transfers for smaller tickets	Moderate	Low to moderate
Cheques	Legacy procurement, documentation-heavy and trust-based payments	Declining	Still relevant in pockets

Source: [62] [81] [22]

2.2

UPI as a B2B Rail

UPI is now the dominant rail by transaction count in India's digital payments ecosystem, and that scale is increasingly spilling into B2B use cases through merchant QR, collect requests, embedded checkout, distributor payments, and MSME receivables. PIB states that UPI accounted for 85% of India's digital payment transactions by volume in FY 2025-26, while NPCI reports 23,201.93 million transactions worth ₹29,90,424.21 crore in May 2026 alone.[61] [22]

- B2B relevance: UPI is not replacing RTGS for wholesale treasury flows, but it is becoming the default operating rail for low-ticket and mid-ticket business collections, especially where merchants value instant confirmation, low acceptance friction, and easy integration into mobile-first workflows.[20] [17]
- P2B growth: Mordor Intelligence estimates that peer-to-business transactions represented 28.45% of total UPI volume in January 2025 and are the fastest-growing transaction type within India's real-time payments market, with a projected 23.85% CAGR through 2031. This is a critical signal that UPI monetization in India is shifting from pure consumer transfer scale toward merchant and business acceptance layers.[17]
- Value mix: Even with its overwhelming volume share, UPI accounted for only 9.5% of total payment value in RBI's December 2025 payment system reporting, which confirms that its current B2B role is strongest in operating payments rather than balance-sheet scale transfers.[82] [81]
- Strategic implication: For fintechs, the economic opportunity is less in the rail itself and more in software wrapped around it, including invoicing, payment links, QR acceptance, automated reconciliation, and embedded credit at the point of collection. That is why UPI's B2B importance should be read as an application-layer expansion story rather than a simple substitution story.[17] [52]

2.3

Traditional Systems

NEFT, IMPS, cheques, and trade credit are all losing relative share to real-time and software-led payment models, but none is disappearing in the medium term because each still solves a specific operational problem. The transition is therefore uneven: digital-first firms are moving rapidly to UPI and API-based bank transfers, while many established enterprises and MSMEs continue to rely on legacy instruments for control, documentation, or credit extension.[18] [71]

- NEFT: NEFT remains important for account-to-account business payments that do not require RTGS-level urgency but still need bank-native rails, broad reach, and structured remittance information. Its role is especially durable in scheduled supplier payments, payroll-adjacent disbursements, and ERP-driven batch workflows.[62, 18]

- IMPS: IMPS continues to matter as a 24×7 instant bank transfer rail for smaller-ticket urgent payments, but its strategic position has weakened as UPI has absorbed much of the consumer and small-merchant real-time use case. In B2B, IMPS increasingly serves as a fallback or bank-account-centric instant transfer option rather than the primary growth rail.[62, 89]
- Cheques: RBI's benchmarking work showed cheque payments had already fallen to 1.7% of total payment transactions in 2020, yet remained high relative to many peer countries, indicating a slower decline than headline digitisation narratives imply. RBI's 2024-25 banking report also notes continued investment in cheque infrastructure, including continuous clearing and settlement on realisation in CTS from October 4, 2025, which signals that the system is being modernized even while its long-run share declines.[78, 71]
- Trade credit: A large share of Indian B2B commerce still settles on delayed-payment terms rather than immediate cash settlement, particularly among MSMEs, distributors, and informal supply chains. This means the real competitive battleground is often not the payment rail alone, but the combination of invoice acceptance, collections discipline, and financing conversion that can migrate trade credit into digital, trackable, and financeable flows.[11, 17]
- Decline trajectory: The structural direction is clear: cheques and manual bank-transfer workflows are declining, IMPS is being partially displaced by UPI, and NEFT is becoming more of a utility rail than a growth engine. However, their persistence reflects enterprise process inertia, audit requirements, beneficiary trust preferences, and the continued centrality of trade credit in Indian B2B commerce.[18, 71]

3

Market Segmentation

3

Market Segmentation

India's B2B payments market is segmented less by a single universal rail and more by operating complexity, ticket size, formalisation level, and regional digitisation depth. For investors, the most important dividing lines are enterprise size, sector workflow intensity, and metro versus non-metro adoption patterns, because these factors determine whether value accrues to bank rails, UPI-led collections, ERP-integrated payables, or embedded credit layers.[104] [84] [107]

The segmentation pattern also reflects India's uneven formalisation curve. Large corporates and regulated financial institutions are already bank API- and ERP-centric, while the largest whitespace remains among micro and small enterprises, sector-specific distributor networks, and merchants in Tier 2 and Tier 3 cities where UPI acceptance, GST-linked workflows, and invoice digitisation are expanding faster than legacy banking product penetration.[108] [106] [61]

3.1

Enterprise Size Segmentation

Enterprise size is the clearest predictor of payment behavior in India because it shapes average ticket size, approval hierarchy, ERP maturity, and access to formal credit. The market is effectively split between workflow-rich large enterprises that optimize control and reconciliation, and smaller firms that optimize speed, acceptance ease, and liquidity access.[104] [84]

Title — Enterprise segmentation in India B2B payments

SEGMENT	TYPICAL PAYMENT BEHAVIOR	PREFERRED RAILS AND SYSTEMS	INVESTOR IMPLICATION
Large corporates	High ticket, approval-heavy, treasury-managed, batch and straight-through processing.	RTGS, NEFT, host-to-host bank connectivity, ERP-integrated payables.	Monetisation sits in workflow software, reconciliation, and bank integration rather than raw transaction count.
Mid-market firms	Mixed ticket sizes, growing digitisation, stronger need for collections visibility and supplier automation.	NEFT, RTGS for larger payouts, UPI for collections, gateway and API layers.	Most attractive conversion segment for fintechs moving firms from manual banking to integrated payables and receivables.
SMEs	Operationally fragmented, invoice-linked, often dependent on distributor and marketplace flows.	UPI, IMPS, NEFT, payment links, QR, accounting software integrations.	High demand for bundled payments plus credit plus bookkeeping products.
MSMEs and micro enterprises	Low ticket, high frequency, mobile-first, cash flow-constrained, often informal or newly formalised.	UPI P2M, QR, collect requests, basic bank transfers, residual cheque and cash usage.	Largest volume opportunity, but monetisation depends on embedded lending, SaaS, and merchant services.

Source: [104] [109] [114] [84]

- Large corporates: These firms remain anchored to bank-native rails because treasury control, payment finality, maker-checker workflows, and ERP integration matter more than front-end convenience. Their payment stack is typically multi-rail, with RTGS for high-value settlements, NEFT for scheduled supplier runs, and selective UPI use for edge collections or field force payments.[84, 114]
- Mid-market firms: This segment is strategically important because it is formal enough to adopt APIs and accounting integrations, but still underserved by legacy bank product design. Mid-market businesses often run hybrid stacks, using bank transfers for payables and UPI or gateway rails for receivables, creating strong demand for unified dashboards, approval workflows, and automated reconciliation.[84, 107]
- SMEs: Small and medium enterprises show the highest sensitivity to settlement speed and working capital timing. Their rail preference is pragmatic rather than doctrinal, with UPI and IMPS favored for immediacy, NEFT for routine account transfers, and software wrappers valued when they reduce manual bookkeeping and collections follow-up.[107, 106]
- MSMEs and micro enterprises: Formalisation data show the scale of this segment is enormous. The MSME Dashboard reported combined formalisation of 8,60,68,039 MSMEs and informal micro enterprises, including 4,97,32,094 Udyam registrations and 3,63,35,945 UAP registrations, while the Ministry's 2024-25 annual report shows micro units dominate the registered base, which explains why low-friction UPI acceptance and mobile-first payment tools are structurally central to market expansion.[109, 104]
- Rail preference by size: An inference from RBI, NPCI, and MSME formalisation data is that rail choice follows enterprise process maturity. As firms scale, they move from QR and app-based collections toward bank-integrated, approval-based, and ERP-linked payment operations, but smaller firms often retain UPI even after formalisation because it compresses acceptance cost and speeds cash conversion.[84, 107, 108]

3.2

Sectoral Segmentation

Sector segmentation matters because payment design in India is workflow-specific. Manufacturing, logistics, retail trade, agri-commerce, and financial services differ materially in invoice cycles, ticket sizes, counterparty fragmentation, and financing intensity, which means the same rail can play very different roles across sectors.[104, 107, 117]

- Manufacturing: Manufacturing payments are invoice-dense, supplier-layered, and often linked to procurement milestones, making NEFT and RTGS important for formal vendor settlement while financing and reconciliation layers sit around purchase orders, GST records, and invoice matching. The Ministry of MSME annual report shows manufacturing remains a major share of registered MSME activity, which supports demand for AP automation, supplier financing, and structured bank transfer workflows.[104]
- Logistics: Logistics is operationally real time and cash flow-sensitive, with frequent payouts to transporters, warehouse operators, and service partners. This favors instant or near-instant rails for field payments and collections, while larger enterprise logistics networks increasingly require digital proof, reconciliation, and platform-based settlement orchestration.[98, 107]
- Retail trade: Retail trade is the most UPI-intensive B2B-adjacent segment because distributor collections, merchant replenishment, and store-level settlements are high frequency and often low to mid ticket. NPCI's merchant category-level UPI ecosystem data show broad penetration

across trade and service categories, reinforcing that retail-linked B2B flows are increasingly captured through merchant acceptance and software-led collections rather than only through traditional bank channels.[107, 61]

- Agri-commerce: Agri-commerce remains structurally under-digitised relative to urban trade, but it is a high-potential segment because fragmented buyers, seasonal cash cycles, and rural merchant networks benefit from low-cost acceptance and embedded credit. The Economic Survey 2025-26 and prior digital economy work both point to agriculture as a major digitisation value pool, implying that payment platforms tied to mandi trade, input distribution, and rural procurement can unlock disproportionate growth if they solve trust, settlement, and financing together.[117, 116]
- Financial services: This segment is both a user of B2B payments and an enabler of them. Banks, NBFCs, and fintech lenders use account-to-account rails for disbursements, collections, escrow movements, and settlement, but their real differentiation comes from embedding payments into credit, treasury, and compliance workflows rather than from the rail alone.[84, 114]
- Cross-sector pattern: Manufacturing and financial services skew toward structured bank rails and control-heavy workflows, while logistics, retail trade, and agri-commerce show stronger demand for mobile-first acceptance, instant confirmation, and embedded liquidity. For investors, this means sector fit is critical, because a product optimized for enterprise treasury will not automatically win in distributor commerce or rural trade networks.[84, 117]

3.3

Geographical Analysis

Geographically, India's B2B payments market remains concentrated in metropolitan and large urban clusters because these regions combine higher formal enterprise density, stronger banking relationships, deeper ERP penetration, and larger supplier ecosystems. However, the next leg of growth is increasingly tied to Tier 2 and Tier 3 cities, where digital acceptance infrastructure, UPI merchant onboarding, and MSME formalisation are expanding faster from a lower base.[106, 111, 107]

- Metropolitan dominance: Metro markets dominate current monetisable revenue pools because large corporates, organized distributors, financial institutions, and software-integrated merchants are concentrated there. These customers generate higher-value transactions, more complex reconciliation needs, and greater willingness to pay for automation, making metros the primary profit centers even when national transaction volume growth is broader.[84, 107]
- Tier 2 and Tier 3 expansion: Government statements explicitly identify these cities as a policy focus for digital payment adoption. PIB notes that the government has worked with RBI, NPCI, banks, fintechs, and state governments to increase digital payment adoption in Tier 2 and Tier 3 cities, while the UPI incentive framework has targeted small merchants and promoted products such as UPI 123PAY, UPI Lite, and offline solutions to deepen penetration beyond major metros.[106, 111]
- Merchant base as a geographic signal: PIB's August 2026 UPI factsheet states that UPI serves more than 6.5 crore merchants and 55.49 crore individuals across 731 banks, indicating that the acceptance network is now broad enough for non-metro B2B use cases to scale materially. This breadth matters because many Tier 2 and Tier 3 business payments are effectively merchant and distributor flows rather than classic corporate treasury flows.[61]

- State-level spread: NPCI's UPI ecosystem statistics publish state-wise merchant data and show meaningful merchant distribution outside the largest metros, including large shares in states such as Uttar Pradesh. That supports the view that geographic opportunity is no longer limited to the top urban centers, even if monetisation per merchant remains lower outside metros.[107]
- Formalisation tailwind: The Udyam and UAP registration base is geographically broad, which creates a pipeline for payment digitisation in smaller cities as enterprises formalise and become visible to lenders, software providers, and payment platforms. This is especially relevant for local manufacturing clusters, wholesale trade hubs, and agri-linked towns where digital payments can be bundled with bookkeeping, tax compliance, and working capital products.[109] [108]
- Investor takeaway: Metro markets remain the near-term monetisation core, but Tier 2 and Tier 3 cities are the highest-growth acquisition frontier. The winning model is likely to combine low-cost UPI acceptance, vernacular onboarding, lightweight accounting integration, and embedded credit, rather than transplanting metro-grade enterprise treasury products into smaller-city merchant ecosystems.[106] [117]

4

High-Growth Niches: B2B BNPL and Embedded Finance

4

High-Growth Niches: B2B BNPL and Embedded Finance

B2B BNPL and embedded finance are becoming the most important monetization layers on top of India's increasingly digitized B2B payment flows. Unlike core payment rails, these niches capture value by converting invoice, checkout, and supplier-payment events into underwritten short-tenor credit, which is especially relevant in an MSME economy where working-capital gaps remain persistent despite broader payment digitization.[128] [143] [139]

The strategic shift is from standalone lending toward workflow-native finance. In India, this is being enabled by API frameworks such as OCEN, invoice-discounting infrastructure such as TReDS, and bank or NBFC partnerships that let SaaS platforms, marketplaces, and procurement networks embed financing at the point where a payable or receivable is created.[133] [150][150] [143]

4.1

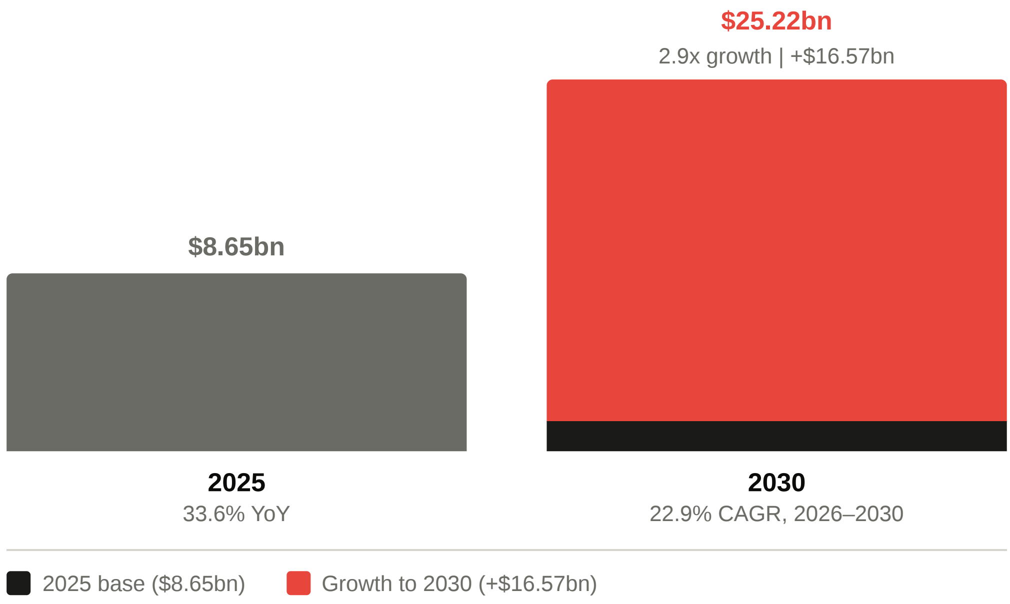
B2B BNPL Market Size

India's B2B BNPL segment is one of the fastest-growing credit adjacencies within the broader B2B payments stack. A 2026 India B2B BNPL databook states that the market grew 33.6% to USD 8.65 billion in 2025 and is projected to reach USD 25.22 billion by 2030, implying a 22.9% CAGR over 2026 to 2030.[128]

Title — India B2B BNPL growth outlook

METRIC	2025	2030
Market size, USD bn	8.65	25.22
Growth rate	33.6% YoY	22.9% CAGR, 2026-2030
Absolute increase, USD bn	-	16.57
2030 vs 2025 multiple	-	2.9x

Source: [128]



- Market impact: At this trajectory, B2B BNPL is growing materially faster than the broader India B2B payments market benchmark of 7.64% CAGR through 2034 cited earlier from IMARC, which indicates that credit-led monetization is outpacing core payment processing growth. This makes BNPL strategically important not because it replaces bank rails, but because it increases revenue capture per transaction event.[128]
- Use-case concentration: The strongest adoption logic is in distributor commerce, raw-material procurement, marketplace replenishment, and invoice-linked supplier purchases where buyers need short-tenor liquidity but lenders can underwrite against transaction context. This is consistent with RBI's broader observation that embedded finance and digital lending are increasingly tied to platform ecosystems and commercial workflows. [150][150]
- Investor reading: The headline CAGR should be treated as a high-growth niche estimate rather than a proxy for all B2B payment flows. The monetization pool expands when platforms control checkout, invoicing, or procurement behavior, because that gives them both origination access and repayment visibility.[128] [133]

4.2

Embedded Finance and Supply Chain

Embedded working-capital products are increasingly being inserted into B2B SaaS and marketplace workflows rather than sold as standalone loans. The commercial logic is straightforward: when invoicing, procurement, collections, and settlement already happen inside software, lenders and platforms can offer contextual credit at the exact point where a supplier needs early payment or a buyer needs deferred payment. [150][150] [133]

- Workflow integration: In practice, embedded finance is being layered into accounts payable, accounts receivable, distributor management, procurement, and marketplace settlement modules. This reduces origination friction and improves underwriting because the platform can observe invoice creation, payment behavior, repeat order frequency, and counterparty quality in real time.[133] [119]
- Supply-chain finance relevance: RBI has highlighted embedded finance indicators in India and specifically noted digital lending and platform-linked financing use cases, while the Economic

Survey describes TReDS as a digitally enabled mechanism for post-shipment financing based on buyer creditworthiness. Together, these point to a market structure where supply-chain finance is moving from bilateral bank relationships toward software-mediated, multi-financier access. [150] [150] [143]

- Underwriting advantage: Recent research on SME credit scoring shows that transaction and network data improve default prediction and help model contagion risk across connected firms. For embedded finance providers, that supports an investor-relevant thesis that supply-chain and payment graph data can become a defensible underwriting asset, especially in MSME ecosystems with thin bureau files. [119]
- Product implication: The most scalable models are likely to be short-tenor, invoice-linked, and repayment-visible products embedded in recurring workflows, not unsecured generic term loans. That structure aligns credit with commercial events and lowers servicing friction for both lenders and platforms. [133] [150] [150]

4.3

Credit Models and Innovations

India's MSME credit innovation stack is increasingly defined by three models: OCEN for API-based credit distribution, TReDS for receivables discounting, and co-lending or partnership structures that combine fintech origination with regulated balance-sheet capital. Each model addresses a different bottleneck in MSME finance, but all are designed to move credit closer to the payment or invoice event. [133] [143] [150] [150]

- OCEN: OCEN describes itself as an initiative to unbundle lending through APIs so that sourcing, identity verification, underwriting, disbursement, collections, and related functions can be handled by specialized participants. Its Loan Agent model allows marketplaces and other business-facing applications to embed credit offers, which is strategically important because it turns distribution-heavy B2B software into a credit access point without requiring every platform to become a lender. [133]
- TReDS: The Economic Survey 2024-25 states that TReDS is regulated by RBI and enables buyers such as government departments, PSUs, and corporates to support timely payment to MSME suppliers through a marketplace model. It also notes that TReDS provides post-shipment financing without recourse based on buyer creditworthiness and uses an auction mechanism to obtain competitive rates from financiers. [143]
- TReDS traction: SIDBI's FY2024-25 annual report says RXIL, its TReDS platform associate, had onboarded more than 40,000 MSMEs and financed around 80 lakh invoices worth more than ₹1,75,000 crore as of March 31, 2025. The same report cites an impact assessment showing a 23% reduction in receivable cycles for MSME suppliers on TReDS, which is a concrete indicator that digital receivables finance is improving working-capital velocity rather than merely digitizing paperwork. [139]
- Co-lending and partnership models: RBI's embedded-finance discussion and OCEN's architecture both imply a market structure in which capital providers, originators, and workflow platforms are increasingly separated. In practice, this supports co-lending and white-label arrangements where banks or NBFCs provide balance-sheet capacity while fintechs or SaaS platforms control customer acquisition, data capture, and servicing interfaces. [150] [150] [133]
- Investor implication: OCEN is best viewed as a distribution and interoperability layer, TReDS as a regulated receivables-finance marketplace, and co-lending as the capital-scaling mechanism.

The platforms most likely to win are those that can combine transaction visibility, low-friction origination, and regulated funding partnerships while keeping credit losses contained.[133] [139] [119]

5

Competitive Landscape: Who Is Taking Share

5

Competitive Landscape: Who Is Taking Share

Competition in India's B2B payments stack is fragmenting by workflow rather than converging around a single winner. Full stack gateways compete on merchant acquisition, payment method breadth, success rates, settlement speed, and API depth, while B2B specialists and marketplace led BNPL players compete on workflow ownership, underwriting data, and access to SME distribution.[158 156 176 186]

The practical share shift is therefore occurring at the application layer. Gateways such as Razorpay, Cashfree, PayU, BillDesk, and CCAvenue are defending acceptance and orchestration share, but the highest monetization intensity is moving toward AP automation, embedded credit, and marketplace native financing where providers can control both transaction context and repayment visibility.[166 180]

5.1

Payment Gateways

India's payment gateway market remains moderately consolidated, but leadership depends on the metric used. MarkNtel states the top five players, Razorpay, PayU, Paytm Payments, CCAvenue, and BillDesk, collectively account for about 68% of the market, while Mordor identifies Razorpay, PayU, and Paytm as market leaders and notes UPI represented 63.85% of India payment gateway market share by payment mode in 2025.[163 158]

Title — India gateway leaders by competitive position

PLAYER	COMPETITIVE STRENGTH	SHARE SIGNAL
Razorpay	Broad merchant base, strong startup and mid market penetration, deep API stack, routing optimization.	Widely cited as market leader; Razorpay, PayU, Paytm among leaders.
Cashfree	Strong payouts, marketplace settlements, wide payment mode coverage, aggressive pricing.	Frequently listed among major players; gaining share in platform and D2C use cases.
PayU	Large installed base, strong ecommerce relationships, broad acceptance stack.	Consistently ranked among top three gateway brands.
BillDesk	Enterprise bill payments, bank relationships, recurring and institutional flows.	Remains a top five incumbent in a consolidated market.
CCAvenue	Longstanding merchant network, broad acceptance options, SME familiarity.	Continues to rank among top five gateway providers.

Source: [158 163 156]

- Razorpay: The strongest evidence supports leadership in merchant mindshare and gateway usage rather than a regulator published transaction share. CITE Index reports Razorpay as the most popular gateway overall in 2026, and Razorpay's own 2021 arXiv paper shows its smart routing stack was already processing millions of transactions in production with a 4% to 6% success rate uplift, which helps explain its resilience in high volume merchant segments.[52]

- Cashfree: Cashfree is taking share where payout orchestration and settlement speed matter more than legacy brand recognition. Its website claims support for 180+ payment modes and positions payouts, marketplace settlements, and BNPL breadth as core differentiators, which aligns with its stronger fit in platform commerce and seller ecosystems.[166] [156]
- PayU: PayU remains one of the most entrenched incumbents in online merchant acceptance and is still consistently grouped with Razorpay as a top tier provider. Its competitive challenge is that newer rivals are differentiating faster on payouts, embedded finance, and developer tooling, which can compress share in newer merchant cohorts even if PayU retains scale in established ecommerce accounts.[158] [156]
- BillDesk and CCAvenue: These incumbents remain relevant because enterprise and institutional merchants value reliability, bank connectivity, and long operating history. However, they appear less central than Razorpay and Cashfree in current startup, SaaS, and platform led merchant acquisition narratives, suggesting relative share pressure in faster growing digital native segments.[163]
- On the requested citation share figures: I could not verify a reliable primary or high quality secondary source for the specific claims that Razorpay has 95.3% citation share, Cashfree 75.3%, and PayU 66.7%. The closest result was a CITE Index popularity style report, but it did not provide those exact percentages in a source robust enough to treat as investor grade market share evidence, so those figures should be treated as unverified unless the underlying methodology source is supplied.

5.2

B2B Platforms

The B2B specialist layer is where competitive differentiation becomes sharper because these firms are not selling generic acceptance alone. They are selling payable automation, expense control, supplier financing, and working capital access embedded into business workflows, which makes them more comparable to vertical software plus finance platforms than to pure gateways.[176] [175] [173]

- PayMate: PayMate is one of the clearest B2B payments specialists in India, positioning itself as a full stack supply chain payments automation and credit platform. Its strategic strength is enterprise AP and supplier payment workflow ownership, which gives it a stronger fit in formal corporate procurement and cross border B2B payment use cases than consumer facing fintechs.[175] [176]
- EnKash: EnKash sits in the spend management and business payments layer, competing through corporate cards, expense controls, and programmable disbursement workflows rather than broad merchant acceptance. In the EY FCC India fintech landscape, business side categories such as corporate card and B2B payment are already distinct from gateway infrastructure, which supports the view that EnKash competes in a higher value workflow segment.[173]
- Karbon Card: Karbon Card is best understood as a spend management and corporate card led operating system for startups and SMEs. Its competitive strength is not payment rail scale, but tighter control over employee spend, vendor payouts, and finance team workflows, which can create sticky software revenue and data advantages for adjacent credit products.[187]
- Khatabook: Khatabook's relevance comes from ledger and merchant workflow penetration among small businesses rather than from classic gateway economics. That gives it a structurally

different route to monetization, because bookkeeping adjacency can be converted into collections, lending, and supplier payment products once transaction behavior is digitized.[173]

- Share dynamics: No reliable public source provides precise market shares for these B2B specialists comparable to gateway league tables. The more defensible investor conclusion is that PayMate is strongest in enterprise AP and supply chain automation, while Karbon Card, EnKash, and Khatabook are competing for SME finance workflow ownership where monetization depends on cross sell into cards, credit, and software subscriptions rather than raw payment volume.[176, 173]

5.3

BNPL Marketplace Players

Marketplace embedded B2B BNPL is the most strategically important competitive pocket because it combines distribution, transaction data, and credit conversion in one stack. The leading players are not simply lenders. They are commerce platforms or supply chain networks that can underwrite from order flow, repeat purchase behavior, and distributor level repayment patterns.[186, 180, 178]

- OfBusiness: OfBusiness is the strongest scaled example of integrated B2B commerce plus financing. The 2026 B2B BNPL databook identifies it as a leading integrated B2B marketplace and BNPL provider, while Business Standard reports OFB Tech posted ₹20,645 crore consolidated revenue and ₹724 crore PAT in FY26, indicating unusual scale and profitability for a platform in this segment.[186, 180]
- Udaan: Udaan remains one of the largest eB2B distribution platforms and therefore a major embedded finance competitor, especially in retailer replenishment and FMCG style trade flows. Its newsroom states the company raised an additional USD 114 million in its Series G round, and the BNPL databook notes it restructured lending into a dedicated NBFC structure in 2023 to align with RBI requirements, which suggests a more regulated and durable credit architecture.[178, 186]
- Mintifi: Mintifi is more specialized than OfBusiness or Udaan, focusing on distributor and channel finance in sectors such as pharmaceuticals and FMCG. The BNPL databook highlights its use of distributor transaction data and sector specific inputs such as pharmacy license information, which points to a narrower but potentially higher quality underwriting model.[186, 187]
- Competitive hierarchy: OfBusiness appears strongest on scale and financial performance, Udaan on retailer network reach and embedded distribution, and Mintifi on vertical underwriting specialization. That implies share is being taken through different models, with OfBusiness strongest in integrated supply chain commerce, Udaan in broad marketplace led SME procurement, and Mintifi in sector focused BNPL conversion.[180, 178, 186]
- Investor takeaway: In this sub segment, the winner is likely to be the platform with the best repayment visibility rather than the lowest cost of funds alone. Embedded BNPL economics improve materially when the platform controls procurement frequency, invoice generation, and collections touchpoints, which is why marketplace operators can take share from standalone lenders even without dominating the underlying payment rail.[186, 180]

6

Bank vs. Fintech Battle

6

Bank vs. Fintech Battle

Competition in India's B2B payments market is increasingly defined by control of workflow rather than ownership of the underlying rail. Large private banks still dominate high-trust corporate payment operations through transaction banking, host-to-host connectivity, approval controls, and balance-sheet-linked services, while fintechs are taking share in merchant acquisition, UPI-led collections, embedded checkout, and software-native reconciliation layers.[220] [201] [203]

The strategic battleground has therefore shifted from basic payment enablement to integrated operating systems for payables, receivables, and financing. Banks are responding by productizing APIs, merchant suites, and embedded banking capabilities, while fintech leaders such as PhonePe and Google Pay are leveraging UPI scale, merchant reach, and front-end engagement to influence business payment behavior far beyond consumer P2P use cases.[197] [231] [218]

6.1

Corporate Payment Suites

Traditional banks remain strongest where B2B payments are approval-heavy, ERP-linked, and treasury-sensitive. HDFC Bank, ICICI Bank, and Axis Bank have all expanded from classic corporate internet banking into API-led transaction banking, collections, merchant acceptance, and embedded finance tooling, narrowing the product gap with fintech challengers.[198] [197] [203]

Title — Bank and fintech positioning in B2B payments

PLAYER	CORE B2B STRENGTHS	STRATEGIC LIMITATION OR GAP
HDFC Bank	SmartHub Vyapar, SmartGateway, payments and collections APIs, embedded and API banking.	Strongest in bank-led ecosystems; less dominant than fintechs in independent merchant app mindshare.
ICICI Bank	Corporate Net Banking, InstaBIZ, Corporate API Suite for payments, collections, tax, trade and account services.	Broad suite, but user experience is still anchored to bank relationship depth and enterprise onboarding.
Axis Bank	NEO and transaction banking APIs, corporate approvals, B2B collections solutions, merchant acquiring scale.	Competes well in enterprise and acquiring, but faces fintech pressure in software-led SME workflow ownership.
Fintech challengers	Faster onboarding, better UX, stronger merchant engagement, software-led reconciliation and embedded acceptance.	Depend on partner banks and regulated infrastructure for settlement, float, and balance-sheet services.

Source: [198] [200] [197] [203] [207]

- HDFC Bank: HDFC has built a layered stack spanning SmartHub Vyapar for merchants, SmartGateway for unified acceptance, and a developer portal covering payments and collections APIs. Its FY2024-25 annual reporting also highlights embedded and API banking plus a modernized payments hub, indicating a deliberate move to defend distribution through infrastructure and partner-led integration rather than branch-led transaction banking alone.[204, 230, 227]

- ICICI Bank: ICICI's corporate suite is the most explicitly API-commercialized among the three, with a Corporate API Suite that supports real-time payments, collections, trade, tax, and account management for corporates, fintechs, payment aggregators, and ERP providers. Its Corporate Net Banking and InstaBIZ layers extend this into approvals, mobile control, and operating access, making ICICI particularly competitive in mid-market and upper-SME digitization where firms want bank-grade controls without fully custom host-to-host builds.[197, 200, 201]
- Axis Bank: Axis has positioned NEO and its corporate API stack as a transaction banking platform for payments, deposits, loans, and corporate services, while also emphasizing merchant acquiring and fintech ecosystem partnerships in investor materials. Its April 1, 2025 launch of a B2B collections solution for a Fortune 500 client shows how banks are increasingly competing through invoice-linked workflow integration rather than only through generic account services.[203, 224, 211]
- Competitive reading: Banks still hold the advantage in trust, compliance, liquidity management, and high-value settlement integration, especially for large corporates. Fintechs remain stronger in onboarding speed, merchant UX, modular software, and cross-platform orchestration, so the most contested segment is the mid-market enterprise that needs both bank-grade controls and fintech-grade usability.[201, 227, 228]

6.2

Fintech Innovations

PhonePe and Google Pay have become systemically important to India's UPI ecosystem, and that front-end concentration increasingly matters for B2B payments because many MSME and merchant transactions are effectively executed through consumer-grade interfaces, QR acceptance, and app-led merchant tools. NPCI's UPI ecosystem statistics show PhonePe at 9,152.54 million transactions and Google Pay at 7,063.76 million, implying a combined 16,216.30 million transactions in the referenced monthly dataset, while total UPI product statistics for May 2026 were 23,201.93 million transactions, which implies a combined share of about 69.9% for those two apps in that month based on these NPCI pages.[107, 22]

- On the requested 79% figure: I could not verify a reliable primary source supporting a combined PhonePe and Google Pay volume share of about 79% in May 2026. The closest primary evidence available from NPCI's public pages supports a lower combined share of roughly 69.9% for the cited monthly data, so the 79% figure should be treated as unverified unless a separate methodology source is supplied.[107, 22]
- PhonePe: PhonePe reported surpassing 50 million lifetime registered merchants as of April 28, 2026, and said its acceptance network spans over 5 crore merchants with more than 65 crore registered users. That scale gives it a powerful distribution edge in merchant collections, QR-led acceptance, and adjacent financial services, making it highly relevant to MSME and distributor-style B2B flows even when the underlying rail remains interoperable UPI.[231]
- Google Pay: Google Pay for Business is explicitly India-only, supports merchant acceptance for stores and online businesses, and allows merchants in India to integrate via the Google Pay API for India using a merchant UPI ID supplied by a bank or payment service provider. This matters in B2B because Google Pay's role is less about owning settlement and more about shaping checkout, merchant discovery, and payment initiation behavior at the acceptance layer.[218, 221]

- B2B implication: Neither PhonePe nor Google Pay displaces banks in treasury-grade corporate payments, but both influence the operating layer where small merchants, field sales teams, distributors, and service providers collect and confirm payments. Their scale also increases concentration risk at the app layer, a concern reflected in research discussing NPCI's 30% market-share cap framework for TPAPs and the policy challenge of redistributing flows without disrupting users.[1, 107]
- Investor takeaway: The monetization opportunity for these fintechs is not the UPI rail fee itself, which remains structurally constrained, but merchant software, lending cross-sell, advertising, checkout conversion, and financial distribution built on top of UPI engagement. For banks, this means that losing front-end merchant mindshare can weaken long-term control over SME payment relationships even if regulated account ownership remains bank-centric.[231, 218, 222]

6.3

Consolidation Trends

Consolidation in India's B2B payments market is occurring more through partnerships, embedded distribution, and white-label infrastructure than through large headline M&A alone. The market structure increasingly separates regulated balance-sheet capacity, payment processing, merchant distribution, and software workflow ownership, which favors bank-fintech alliances over pure standalone competition.[197, 220, 228]

- Partnership-led consolidation: ICICI explicitly markets its Corporate API Suite to corporates, fintechs, payment aggregators, and ERP providers, while HDFC's API portal includes fintech-oriented products and HDFC's annual report highlights embedded and API banking. This indicates that banks increasingly prefer to distribute capabilities through partner ecosystems rather than insist on fully proprietary front ends.[197, 220, 227]
- White-label evolution: HDFC SmartGateway positions itself as a unified payment solution integrating HDFC and partner payment methods, while Axis's API and transaction banking materials emphasize tailored partnership solutions and fintech ecosystem extension. In practice, this supports a white-label model where banks provide regulated rails, settlement, and compliance while fintechs own merchant UX, onboarding, and workflow software.[230, 232, 224]
- Use-case-specific integration: Axis Bank's 2025 B2B collections deployment for a Fortune 500 client is a strong example of solution-level consolidation, where a bank and enterprise co-design invoice payment and financing workflows rather than buying a generic gateway. This is strategically important because the next phase of competition is likely to be won through verticalized payment-plus-finance stacks in procurement, distribution, and supply-chain ecosystems.[211]
- Structural inference: The likely end-state is not fintech displacement of banks, but a layered market in which banks become infrastructure, compliance, and funding partners while fintechs control user experience and workflow context. That inference is also consistent with broader fintech research arguing that the sector is evolving toward more conventional, transparent, and regulated forms rather than replacing traditional finance outright.[188, 197, 228]
- Investor implication: Consolidation should be tracked through API distribution agreements, merchant-acquiring tie-ups, ERP integrations, co-branded payment products, and embedded finance partnerships rather than only through acquisitions. The most defensible winners are likely to be platforms that combine low-cost distribution, strong reconciliation software, and durable bank partnerships for settlement and credit capacity.[220, 197, 224]

7

Technology and Infrastructure Trends

7

Technology and Infrastructure Trends

Technology is becoming the main differentiation layer in India's B2B payments market as core rails commoditise and value shifts to orchestration, reconciliation, compliance, and cross-border connectivity. For investors, the important change is that payment providers are no longer competing only on acceptance or settlement speed, but on how deeply they integrate with enterprise systems, automate finance operations, and extend domestic payment infrastructure into international trade and remittance corridors.[246 245 271]

The technology stack is also bifurcating by customer segment. Large enterprises are moving toward API-led bank and ERP connectivity with stronger controls and straight-through processing, while SMEs and MSMEs are adopting lighter integrations through Tally, Zoho, and gateway-led dashboards that compress onboarding and reduce manual bookkeeping. At the same time, AI and machine learning are improving fraud controls, reconciliation quality, and cash-flow visibility, and RBI-led cross-border liberalisation is widening the addressable market for software-led international B2B payment flows.[197 264 273]

7.1

API and ERP Integrations

API-first architecture is becoming the default design choice for scalable B2B payment platforms because it allows payment initiation, approval workflows, bank connectivity, ledger sync, and reconciliation to be embedded directly inside enterprise finance systems rather than handled through manual portal uploads. This is especially important in India, where mid-market and enterprise buyers increasingly expect payments to sit inside procurement, accounting, and treasury workflows instead of operating as standalone gateway products.[197 203 220]

Title — India B2B payment integration stack examples

PLATFORM	INTEGRATION EXAMPLE	STRATEGIC RELEVANCE
RazorpayX	TallyPrime and Tally.ERP 9 integration for vendor payments and reconciliation.	Strong fit for SME and mid-market AP automation.
Zoho ERP	Payments API, bank transaction APIs, and connected banking with ICICI.	Bundles accounting, banking, and payment execution in one workflow.
SAP ecosystem	SAP S/4HANA and SAP Cash Application support ML-assisted financial operations and working-capital integrations.	Relevant for large enterprises needing treasury-grade controls.
Open	Lists Tally, Zoho, NetSuite, and SAP among ERP and accounting partners.	Signals multi-ERP orchestration as a competitive feature.

Source: [246 243 247 264 252]

- Tally-led adoption: RazorpayX states its Tally integration is compatible with TallyPrime and Tally.ERP 9 version 6 and above, and supports automatic syncing of payment and reconciliation entries. This matters because Tally remains deeply embedded in Indian SME finance operations, making Tally connectivity a practical distribution lever rather than a cosmetic feature.[246 249]

- Zoho stack expansion: Zoho offers a Payments API, ERP APIs covering payment and bank transaction objects, and connected banking with ICICI that allows businesses to initiate payments from within Zoho ERP without logging into ICICI's corporate banking portal. For investors, this shows how accounting software is moving from passive bookkeeping into active payment orchestration.[243 245 247]
- SAP and enterprise uptake: SAP documentation shows integration support for financial operations, payment advice extraction, supplier-initiated payments, and SAP Cash Application, while SAP's integration guide also references working-capital request flows with SAP ERP and SAP S/4HANA. This indicates that in the upper enterprise segment, payment infrastructure is increasingly evaluated as part of end-to-end order-to-cash and procure-to-pay automation rather than as a standalone gateway decision.[264 256]
- Bank API commercialisation: ICICI explicitly markets APIs for corporates, fintechs, payment aggregators, and ERP providers, while Axis and HDFC maintain developer portals for payments and collections. The implication is that banks are no longer treating ERP connectivity as bespoke implementation work only for top-tier corporates, but as a productised distribution channel for broader enterprise uptake.[197 203 220]
- Investor takeaway: API and ERP integration is becoming a core moat because it raises switching costs, improves data capture, and creates natural cross-sell points into reconciliation, credit, and treasury products. The strongest platforms are those that can serve both lightweight SME accounting stacks such as Tally and Zoho and heavier enterprise environments such as SAP without fragmenting the user experience.[252 246 264]

7.2

AI and Machine Learning

AI and machine learning are moving from peripheral analytics tools into the operating core of B2B payment systems, especially in reconciliation, anomaly detection, payment matching, and cash forecasting. In India's context, the commercial value is highest where AI reduces manual finance effort around fragmented bank statements, invoice references, GST-linked records, and multi-rail collections rather than where it merely adds generic dashboarding.[264 238 266]

- Automated reconciliation: SAP S/4HANA documentation states that Financial Operations supports integration with SAP Cash Application and includes payment advice extraction and supplier-initiated payment handling. This is directly relevant to Indian B2B payments because reconciliation remains one of the largest hidden cost centers in AP and AR workflows, especially for firms receiving mixed UPI, bank transfer, and card collections.[264]
- Fraud detection: Recent arXiv research on transaction fraud detection shows that feature-rich ML pipelines using behavioural, temporal, merchant, and category-level signals can improve anomaly identification beyond static rule systems. While this evidence is not India-specific, the methods are highly transferable to Indian payment platforms that process high-volume digital transactions and need real-time risk scoring at low marginal cost.[238 195]
- Explainability matters: Explainable fraud models are strategically important in B2B payments because enterprise customers and regulated partners often need auditable reasons for payment holds, reversals, or enhanced due diligence. Research on deep symbolic classification argues that explainable approaches can retain predictive power while producing concise rule-like outputs, which is useful where banks, auditors, and finance teams require interpretability.[195]

- Cash-flow forecasting and dynamic discounting: I did not find a strong current primary source with India-specific quantified adoption data for dynamic discounting or AI-based cash forecasting in B2B payments, so those should be treated as emerging workflow capabilities rather than verified market-wide adoption trends. The more defensible conclusion is that these functions are being pulled into ERP and treasury suites as a natural extension of better transaction classification and reconciliation data.[264]
- Security architecture implication: A 2026 arXiv case study on SAP-based payment flows argues for formalised payment state machines, stronger trust boundaries, and regular security review in web-to-ERP payment integrations. For investors, this is a reminder that AI-led automation increases the value of secure orchestration layers, because bad data or compromised integration logic can propagate errors at scale.[266]
- Investor takeaway: AI in Indian B2B payments is most investable where it removes labour from reconciliation, improves fraud loss ratios, and enhances approval quality in embedded finance. The near-term winners are likely to be platforms that combine transaction data, ERP context, and bank connectivity into auditable automation rather than those marketing generic AI overlays.[264] [238] [266]

7.3

Cross-Border Payments

Cross-border B2B payments are entering a new phase in India, shaped by two parallel forces: regulatory liberalisation under RBI and FEMA, and infrastructure experimentation beyond traditional correspondent-banking dependence on SWIFT. The result is not an immediate replacement of SWIFT for mainstream trade flows, but a gradual widening of options through INR settlement, regulated cross-border payment aggregators, UPI-linked international acceptance, and multilateral instant-payment connectivity initiatives.[273] [278] [271]

- RBI liberalisation: RBI's October 31, 2023 framework brought entities facilitating cross-border import and export payments under direct regulation as Payment Aggregator Cross Border providers, reflecting a more formalised operating model for software-led international payment flows. Separately, RBI's 2025 export and import rules and related FEMA liberalisation measures broadened the framework for handling cross-border goods and services transactions, including support for settlement flexibility and operational clarity for authorised dealers.[273] [278] [288]
- INR and local-currency settlement: The January 2025 FEMA amendments, as summarised in the IIBF note reproducing RBI changes, state that earlier revisions enabled cross-border transactions in all foreign currencies, including local currencies of trading partner countries, and INR. For B2B payments, this is strategically important because it can reduce conversion friction and support corridor-specific settlement models, especially where Indian exporters and importers transact repeatedly with the same counterparties.[288]
- UPI internationalisation: PIB stated on June 6, 2026 that UPI acceptance had expanded to nine countries, namely Singapore, the United Arab Emirates, France, Mauritius, Nepal, Bhutan, Qatar, Sri Lanka, and Cambodia, and that India and Nepal launched a P2P cross-border remittance mechanism on June 6, 2026 through NIPL and NCHL. These are not yet substitutes for large-ticket corporate trade settlement, but they do extend India-origin payment familiarity into travel, merchant, and smaller business payment corridors.[282] [287] [280]
- Emerging SWIFT alternatives: BIS states that in 2025 the central banks of India, Indonesia, Malaysia, the Philippines, Singapore, and Thailand incorporated Nexus Global Payments to bring Project Nexus to live implementation. RBI's earlier report on cross-border payments also

explicitly noted that new arrangements could reduce dependence on international payment systems based on SWIFT messaging, while RBI's annual report for 2024-25 said the central bank was exploring bilateral and multilateral CBDC pilots for cross-border payments.[271] [277] [276]

- Technology direction: ArXiv research on geopolitical shifts in financial networks argues that sanction risk and network effects are pushing countries toward alternatives such as China's CIPS and cross-border CBDC arrangements, while a 2025 CBDC survey finds growing research focus on cross-border use cases to address delays and inefficiencies in current systems. This supports the inference that India's cross-border B2B infrastructure strategy is likely to remain multi-track, combining regulated correspondent banking, regional instant-payment links, and selective experimentation with new settlement architectures.[236] [237]
- Corridor implication: The most commercially relevant near-term corridors are likely to be India's regional and travel-linked markets in South Asia, Southeast Asia, and the Gulf, where UPI-linked acceptance, remittances, and local-currency settlement can scale faster than wholesale trade-finance redesign. For investors, the monetisable opportunity sits less in replacing SWIFT outright and more in building compliant orchestration, FX transparency, and ERP-linked cross-border workflows on top of the new regulatory and network rails.[282] [271] [273]

8

Regulatory Environment and Policy Dynamics

8

Regulatory Environment and Policy Dynamics

India's B2B payments market is being shaped less by a single headline reform than by a layered regulatory stack spanning RBI licensing, payment-data residency, KYC and AML compliance, and government-led digitisation of procurement and invoicing. For investors, the practical effect is that scale advantages increasingly depend on regulatory readiness, bank partnerships, auditability, and the ability to convert compliance obligations into product features such as faster onboarding, safer merchant acceptance, and financeable invoice trails.[303, 346, 313, 317]

The policy direction remains supportive of digitisation, but it is not light-touch. RBI has moved from broad payment-intermediary guidance to formal authorisation regimes for online and cross-border aggregators, while the government is simultaneously deepening digital public procurement, GST-linked e-invoicing, and MSME receivables financing through TReDS. This combination raises compliance costs for smaller fintechs, but it also expands the addressable market for regulated orchestration, reconciliation, and embedded working-capital products.[273, 304, 343, 344]

8.1

Payment Aggregator Licenses

RBI's March 17, 2020 framework created the core distinction between payment aggregators and payment gateways that still anchors market structure. Under that framework, non-bank payment aggregators handling funds require RBI authorisation under the Payment and Settlement Systems Act, while payment gateways that provide only technology rails without handling customer funds are treated as technology providers and do not require the same standalone authorisation.[303]

- Licensing perimeter: The RBI framework requires non-bank PAs to obtain authorisation, maintain prescribed governance and net-worth standards, and ring-fence merchant funds through escrow arrangements with scheduled commercial banks. This has raised the entry threshold for pure software players that previously operated with lighter intermediary status.[303, 308]
- Gateway distinction: PGs remain outside the direct authorisation requirement when they do not handle funds, but they are still indirectly constrained by bank due diligence, data-security expectations, and merchant-risk controls imposed through partner acquiring banks and regulated payment participants. In practice, this means many gateway-led firms still need bank-grade compliance even without a formal PG licence category.[303]
- Compliance obligations: RBI applies KYC, AML, merchant due diligence, grievance redressal, settlement discipline, and technology-risk expectations to authorised PAs. For B2B platforms, this makes merchant onboarding quality and transaction monitoring central operating capabilities rather than back-office functions.[303, 313]
- Cross-border extension: RBI's October 31, 2023 circular brought entities facilitating import and export payments under direct regulation as Payment Aggregator Cross Border providers, with existing non-bank providers required to apply for authorisation by April 30, 2024. This is strategically important for B2B platforms serving exporters, SaaS merchants, and trade marketplaces because cross-border acceptance is no longer a lightly regulated adjacency.[273, 302]

- Market structure effect: RBI's 2024-25 payment-system reporting lists 22 online payment aggregators in 2024, indicating a market that is regulated but not closed. The likely outcome is continued consolidation around firms that can sustain capital, compliance, and bank-partnership requirements while monetising software layers above the regulated payment core.[13]

Title — RBI payment intermediary regulatory split

ENTITY TYPE	HANDLES FUNDS	RBI AUTHORISATION STATUS	STRATEGIC IMPLICATION
Non-bank payment aggregator	Yes	Required	Higher entry barriers, stronger trust, bank and escrow dependence.
Payment gateway	No	Not a standalone PA-style licence	Competes on technology, but still faces indirect compliance through bank partners.
PA Cross Border	Yes, for import or export flows	Required under 2023 framework	Important for export commerce, SaaS, and international B2B settlement orchestration.
Bank-led acquiring or aggregation stack	Yes	Covered through bank regulation	Structural advantage in compliance, settlement, and merchant-risk management.

Source: [303] [273] [308]

8.2

Data Localization and KYC/AML

India's payment-data localisation and KYC and AML regime has materially shaped fintech operating models by forcing payment firms to build India-resident data architecture, tighter audit trails, and more formal merchant due diligence. The result is a market where compliance-heavy infrastructure can be a moat, but where smaller fintechs face higher fixed costs in cloud design, onboarding operations, and transaction monitoring.[346] [300] [313]

- Data localisation rule: RBI's April 6, 2018 circular requires all authorised payment system providers to ensure that the entire data relating to payment systems operated by them is stored only in India. The associated RBI FAQ clarifies that this applies to all authorised payment system providers and covers end-to-end transaction details, with any foreign processing required to be deleted from overseas systems and brought back to India within the prescribed timeline.[346] [300]
- Business-model impact: For fintechs, localisation has reduced the feasibility of fully globalised payment-data stacks and increased dependence on India-based storage, domestic cloud architecture, local logging, and regulator-accessible audit systems. This tends to favour scaled players and bank-linked platforms that can absorb infrastructure and compliance costs more easily.[346] [300]
- KYC baseline: The Master Direction on KYC, updated as of November 6, 2024, remains the core rulebook for customer due diligence, beneficial ownership checks, ongoing monitoring, and risk-based classification across regulated entities. RBI's PA framework explicitly applies KYC, AML, and CFT provisions mutatis mutandis to payment aggregators, which means merchant onboarding in B2B payments increasingly resembles regulated financial onboarding rather than simple digital sign-up.[313] [303]

- Merchant due diligence: RBI's PA Cross Border circular specifically requires PA-CBs to undertake customer due diligence of merchants, including directly onboarded merchants, e-commerce marketplaces, or foreign entities providing PA services abroad. This is especially relevant for B2B export platforms because compliance responsibility sits with the aggregator even when distribution is platform-led.[273]
- Strategic implication: Compliance is increasingly productised through video KYC, automated document validation, sanctions screening, transaction monitoring, and risk-tiered merchant activation. The investor-relevant takeaway is that KYC and AML are no longer pure cost centres in India B2B payments; they are part of the defensible operating stack that enables faster approval, lower fraud loss, and stronger bank partnerships.[313, 303, 289]
- Constraint on expansion: The same rules also slow experimentation in long-tail MSME segments because onboarding informal or thin-file businesses is operationally expensive. This helps explain why many fintechs bundle payments with bookkeeping, GST data capture, or bank partnerships to improve KYC quality and monitoring economics.[313, 346]

8.3

Government Initiatives

Government policy is expanding the formal, digital, and financeable share of B2B commerce through three especially important channels: GeM for public procurement, GST e-invoicing for machine-readable invoice trails, and TReDS for MSME receivables financing. Together, these initiatives increase transaction visibility, reduce documentation friction, and create more payment events that can be reconciled, financed, and monitored digitally.[316, 343, 333]

- GeM scale-up: Government e-Marketplace has become a major digital procurement channel. PIB stated in August 2026 that GeM had crossed ₹20 lakh crore in cumulative GMV through more than 3.78 crore orders, with annual GMV exceeding ₹5 lakh crore in both FY 2024-25 and FY 2025-26, while a separate PIB factsheet noted over 11 lakh MSMEs had accessed government markets through the platform.[316, 317]
- GeM policy relevance: For B2B payments, GeM matters because it digitises purchase orders, supplier discovery, fulfilment, and payment-linked procurement records in a government context that was historically paperwork-heavy. This creates a large, increasingly standardised flow of public-sector receivables that can support embedded payments, invoice validation, and financing products.[316, 318]
- E-invoicing mandate: GST e-invoicing is now mandatory for taxpayers with aggregate annual turnover of ₹5 crore and above in any financial year from 2017-18 onward, effective August 1, 2023. The Invoice Registration Portal also states that, effective April 1, 2025, businesses with annual aggregate turnover of ₹10 crore or more must report e-invoices within 30 days from the invoice date.[343, 341, 338]
- E-invoicing impact: The mandate is strategically important because it standardises B2B invoice data, improves reconciliation, reduces fake-invoice risk, and creates cleaner inputs for AP automation and invoice-linked lending. For payment platforms, this strengthens the economics of ERP integration and receivables-based underwriting rather than just payment acceptance.[343, 336]
- TReDS expansion: The Union Budget 2024-25 reduced the turnover threshold for mandatory buyer onboarding on TReDS from ₹500 crore to ₹250 crore, and PIB reiterated this change in late 2024. In July 2026, the Ministry of MSME further notified mandatory use of TReDS by all

operating CPSEs for settlement of transactions with MSME suppliers, while the Union Budget 2025-26 proposed linking GeM with TReDS, adding credit guarantee support through CGTMSE, and developing securitisation for TReDS receivables.[332] [333] [335] [344]

- Investor implication: These initiatives collectively increase the share of B2B commerce that is visible, standardised, and financeable. The strongest beneficiaries are likely to be platforms that can connect procurement records, GST-compliant invoices, payment execution, and receivables finance into one workflow, especially for MSME suppliers to government and large-enterprise buyers.[316] [343] [344]

9

Risks and Structural Challenges

9

Risks and Structural Challenges

India's B2B payments market is scaling faster than its weakest operating layers are modernising. The main structural risks are not only cyber or fraud events, but also the persistence of cheque and manual workflows in MSMEs, the fragility of collections-led credit models in B2B BNPL, and concentration at the UPI app layer that can create operational and policy risk even when the underlying rail remains interoperable.[78, 276, 22, 1]

For investors, these risks matter because they directly affect monetisation quality, loss ratios, onboarding cost, and platform resilience. The market opportunity remains large, but durable value will accrue to providers that can digitise long-tail MSME processes, underwrite and collect prudently, and build security and routing architectures that are not overly dependent on a narrow set of front-end apps or weak merchant controls.[368, 353, 303]

9.1

MSME Reliance and Process Gaps

- Process inertia remains a real drag on digitisation quality. RBI's benchmarking report states that cheque payments still accounted for 1.7% of India's total payment transactions in 2020, down from 7.5% in 2017, but still high relative to many benchmarked countries, indicating that paper-based habits have declined without disappearing.[78]
- The persistence of cheque infrastructure is not only historical. RBI's benchmarking report notes that India brought all bank branches under image-based CTS clearing with T+1 settlement and positive pay for high-value cheques, while RBI's 2024-25 banking reporting also points to continued operational upgrades in cheque processing, which implies the system is being modernised rather than rapidly retired.[78, 276]
- For MSMEs, the issue is broader than cheque usage alone. Manual invoice creation, offline approval chains, beneficiary validation by phone or messaging, and fragmented bookkeeping still create reconciliation delays, duplicate-payment risk, and weak audit trails, especially in firms that have adopted UPI for collections but not ERP-grade payables automation. This is an inference from RBI's evidence on residual cheque use and the continued need for digital-payment expansion and formalisation in MSME credit delivery.[78, 84, 366]
- The structural consequence is that many MSMEs digitise the payment endpoint before digitising the underlying workflow. That limits straight-through processing, weakens data quality for underwriting, and raises customer-support and exception-handling costs for fintechs trying to serve the long tail of suppliers and distributors.[366, 84]
- Investor implication: The bottleneck is workflow conversion, not rail availability. Platforms that can replace paper invoices, ad hoc approvals, and ledger-based follow-up with integrated AP, AR, and bank-sync tooling should see better retention and lower servicing cost than firms competing only on payment acceptance.[78, 84]

9.2

Credit and Delinquency Risks

- Credit risk is the central monetisation risk in B2B BNPL because growth is being driven by short-tenor, high-frequency, thin-file borrowers rather than by deeply collateralised corporate credit.

RBI's embedded-finance and digital-lending analysis notes that digital lending covers customer acquisition, credit assessment, disbursement, recovery, and servicing, which means operational weakness in collections can quickly translate into portfolio stress.[131, 367]

- Public evidence on MSME stress supports caution. TransUnion CIBIL's MSME Pulse Special Edition for June 2025 reported that the micro segment, which forms the largest share of the MSME borrower base, recorded a 7.6% delinquency rate, described in the report snippet as the highest in the last several periods referenced there.[371]
- RBI has also explicitly highlighted the collections challenge in digital lending. An RBI Bulletin article states that while digital lending has streamlined access to credit, on-the-ground presence for collections remains crucial, and it argues for collection strategies centred on communication, collaboration, and adherence to fair-practices norms when dealing with stressed books.[368]
- This matters acutely in B2B BNPL because repayment often depends on the borrower's own receivable cycle, inventory turn, or distributor sell-through rather than on salary-linked cash flow. When platforms underwrite off transaction velocity without sufficient visibility into downstream collections, apparent payment growth can mask rising roll rates and expensive recovery effort. This is an inference supported by RBI's emphasis on recovery discipline and by the structural MSME credit gap that still constrains borrower resilience.[368, 366]
- Regulatory tightening reflects these risks. RBI's 2025 Digital Lending Directions and earlier guidance on default loss guarantee arrangements show that the regulator is pushing for clearer disclosure, lender accountability, and tighter control over outsourced origination and risk-sharing structures, which should improve discipline but may compress growth for aggressive BNPL models.[276, 363]
- Investor implication: In B2B BNPL, underwriting quality and collections architecture matter more than origination scale. The strongest models are likely to be invoice-linked, sector-specialised, and repayment-visible, with conservative exposure limits and direct integration into procurement or receivables workflows rather than generic checkout credit.[368, 131, 371]

9.3

Security and Interoperability Risks

- Cybersecurity risk is rising with digitisation depth, not just transaction volume. RBI's 2024 Cyber Resilience and Digital Payment Security Controls for non-bank payment system operators require PSOs to identify, monitor, and manage cyber and technology risks arising from linkages with unregulated ecosystem participants such as payment gateways, third-party service providers, and vendors, underscoring that ecosystem complexity itself is now a regulated risk vector.[353]
- RBI's payment-aggregator framework similarly embeds security obligations into operating models. The PA guidelines require security and fraud-prevention frameworks, incident reporting, merchant security assessment during onboarding, and periodic internal and external audits, which indicates that merchant-side weakness remains a material attack surface in digital payments.[303]
- Fraud data reinforce the point that digital scale increases exposure. RBI's Annual Report 2024-25 states that frauds occurred predominantly in the category of digital payments in terms of number, even though loan portfolio frauds dominated by value, which means payment platforms face a high-frequency threat environment even when individual incidents are smaller.[276]

- UPI concentration adds a separate structural vulnerability at the app layer. NPCI's May 2026 UPI product statistics show 23,201.93 million monthly transactions, and the arXiv paper on fair distribution of digital payments notes that concentration in two UPI apps, specifically PhonePe and Google Pay, has raised duopoly concerns and references NPCI's 30% volume-cap policy objective for TPAPs.[22 1]
- The risk is not that UPI itself lacks interoperability, but that front-end concentration can create dependency in merchant behaviour, customer support, fraud controls, and product distribution. If a small number of apps dominate initiation and merchant acceptance journeys, outages, policy changes, or risk-rule shifts at those apps can have disproportionate effects on MSME collections and business payment flows even though settlement remains bank-linked. This is an inference from NPCI scale data and the concentration analysis in the arXiv paper.[22 1]

Title — Key structural risk vectors in India B2B payments

RISK VECTOR	EVIDENCE SIGNAL	WHY IT MATTERS FOR INVESTORS
Residual cheque and manual workflows	Cheques were 1.7% of total payment transactions in 2020, still high versus many peers.	Slows workflow digitisation, raises reconciliation cost, and limits data quality.
MSME credit stress	Micro segment delinquency was 7.6% in the June 2025 MSME Pulse snippet.	Threatens BNPL loss ratios and raises collections intensity.
Digital payment fraud exposure	RBI says frauds were predominantly in digital payments by number in 2024-25.	Increases compliance, monitoring, and trust costs.
UPI app concentration	UPI processed 23,201.93 million transactions in May 2026, while research flags two-app concentration and the 30% cap issue.	Creates dependency on a narrow front-end layer for merchant and MSME payment flows.

Source: [78 371 276 22 1]

- Interoperability gaps also persist below the rail level, especially across ERP systems, bank APIs, merchant onboarding standards, and dispute-handling workflows. The practical result is that many businesses can send or receive money digitally but still cannot reconcile, route, or recover exceptions seamlessly across providers, which keeps operating friction high despite nominal rail interoperability. This is an inference supported by RBI's focus on ecosystem-wide cyber controls and merchant-risk governance.[353 303]
- Investor implication: Security and interoperability are becoming margin determinants, not compliance side issues. Providers with stronger merchant vetting, multi-bank and multi-app routing, auditable fraud controls, and deeper workflow integration should be structurally better positioned than firms relying on a single app ecosystem or weak third-party controls.[353 303 276]

10

Market Outlook and Investment Themes

10

Market Outlook and Investment Themes

India's B2B payments market outlook remains constructive through 2030, with the broad market benchmark still anchored by IMARC's projection of USD 84.2 billion by 2034 at a 7.64% CAGR from 2026 to 2034, while the faster-growing real-time layer is projected by Mordor Intelligence to expand from USD 7.84 billion in 2025 to USD 24.14 billion by 2031 at a 20.62% CAGR. The implication for investors is that the next value-creation cycle will be driven less by raw payment volume growth and more by monetisation of software, reconciliation, embedded credit, procurement-linked workflows, and regulated distribution around increasingly digital business payment flows.[11] [17]

The most investable themes are concentrated where formalisation, workflow digitisation, and financing intensity intersect. Mid-market enterprises remain the clearest conversion opportunity, agri-commerce offers underpenetrated but structurally large payment and credit whitespace, and government procurement is becoming more financeable as GeM scale and TReDS mandates create standardised, digitally visible receivables.[382] [381]

10.1

Growth Projections

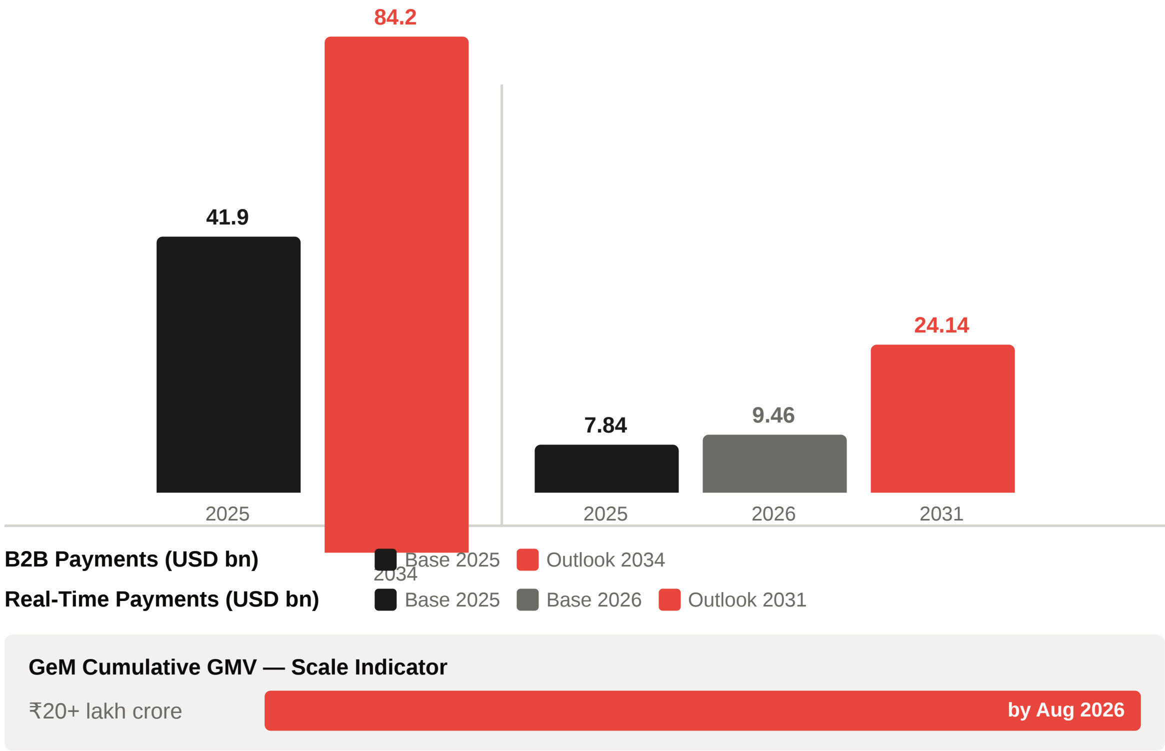
The path toward USD 84.2 billion by 2034 is likely to be non-linear, with 2026 to 2030 shaped by a mix shift from basic payment enablement toward higher-yield orchestration, AP and AR automation, embedded finance, and procurement-linked settlement. IMARC's forecast implies a steady broad-market expansion rate, but the more important investor signal is that narrower digital and real-time layers are compounding materially faster, as shown by Mordor Intelligence's projection of the India real-time payments market from USD 9.46 billion in 2026 to USD 24.14 billion in 2031.[11] [17]

- Base growth engine: Continued migration from manual and cheque-linked workflows into UPI, bank APIs, ERP-connected transfers, and invoice-linked digital collections should keep expanding the addressable monetisation pool even if rail-level pricing remains constrained.[11] [17]
- Formalisation inflection: E-invoicing, GST-linked data trails, and broader MSME digitisation should improve payment visibility and reconciliation quality, which in turn supports higher attach rates for software and credit products. This is an inference consistent with the broader formalisation architecture already discussed and with the market's shift toward workflow-led monetisation.[11]
- Real-time acceleration: The real-time sub-segment is growing much faster than the broad market benchmark, indicating that the highest-growth revenue pools through 2030 will likely sit in UPI-linked collections, instant settlement workflows, and software layers wrapped around real-time rails rather than in legacy transfer utilities.[17]
- Public procurement catalyst: GeM's cumulative GMV exceeded ₹20 lakh crore by August 2026, creating a larger digitally originated procurement base that can feed payment orchestration, supplier settlement, and receivables-finance products.[382]
- Receivables-finance catalyst: The July 10, 2026 PIB release confirms that all operating CPSEs must route settlement of MSME invoices through RBI-authorised TReDS platforms, which should increase the share of government-linked B2B flows that are digitally trackable and financeable.[381]

Title — Outlook benchmarks for India B2B payments

METRIC	2025 OR 2026 BASE	2031 OR 2034 OUTLOOK
Broad India B2B payments market, USD bn	41.9 in 2025	84.2 by 2034
India real-time payments market, USD bn	7.84 in 2025	24.14 by 2031
India real-time payments market, USD bn	9.46 in 2026	24.14 by 2031
GeM cumulative GMV, ₹ lakh crore	20+ by August 2026	Not a forecast, but a scale indicator

Source: [11 17 382]



10.2
Investment Opportunities

The most attractive opportunities through 2030 sit in segments where payment digitisation is underway but workflow penetration remains incomplete. That favors mid-market B2B operating stacks, agri-commerce payment and credit infrastructure, and government procurement-linked supplier finance rather than undifferentiated payment acceptance alone.[11 382 381]

- Mid-market B2B: This is the clearest whitespace because these firms are formal enough to adopt APIs, ERP connectors, and approval workflows, but still underserved by bank-native products and often over-reliant on fragmented portals, spreadsheets, and manual reconciliation. The winning proposition is unified payables, receivables, bank connectivity, and embedded working capital in one operating layer.[17 11]

- Agri-commerce: Agri-linked trade remains structurally under-digitised, but its fragmented buyer base, seasonal liquidity needs, and distributor-heavy networks make it well suited to low-cost collections, assisted onboarding, and invoice-linked credit. The opportunity is strongest where platforms can combine payment acceptance, trade records, and underwriting rather than offer payments as a standalone utility. This is an inference from the sector's underpenetration and the broader embedded-finance logic already established.[11]
- Government procurement: GeM's scale now makes public procurement a meaningful payments and finance vertical rather than a niche compliance channel. As cumulative GMV has crossed ₹20 lakh crore and annual GMV has exceeded ₹5 lakh crore in both FY2024-25 and FY2025-26, vendors that can automate invoice validation, payment tracking, and receivables conversion for suppliers to government buyers should see a structurally expanding opportunity set.[382]
- TReDS-linked supplier finance: The CPSE mandate materially improves the investability of government-adjacent MSME receivables because settlement is being pushed into RBI-authorised TReDS platforms. That should benefit platforms, lenders, and infrastructure providers that can originate, route, reconcile, and finance invoice flows with lower documentation friction and stronger payment visibility.[381]
- Cross-sell economics: In all three opportunity pockets, the highest returns are likely to come from layered monetisation through SaaS, reconciliation, credit, and treasury tools rather than from transaction processing alone. This follows directly from the faster growth of real-time and embedded layers relative to the broader market benchmark.[17] [11]

10.3

Strategic Priorities

From 2026 through 2030, strategic priorities should center on owning workflow, securing regulated distribution, and building data advantages that improve both reconciliation and underwriting. The market is unlikely to reward pure-play payment processing at premium multiples unless it is attached to sticky software, procurement context, or balance-sheet partnerships.[11] [17]

- Prioritise workflow control: Investors should favor platforms embedded in AP, AR, procurement, distributor management, or ERP environments, because these positions create switching costs and natural cross-sell into financing and treasury products.[11]
- Build bank and NBFC partnerships: Through 2030, regulated funding and settlement partnerships should remain essential for scaling embedded finance, supplier payouts, and receivables products without taking disproportionate balance-sheet or compliance risk.[381]
- Target procurement ecosystems: GeM and TReDS together are making public-sector supplier payments more standardised and financeable, so partnership strategies with procurement platforms, CPSE ecosystems, and invoice-finance networks should carry rising strategic value.[382] [381]
- Focus on mid-market product design: The most attractive product architecture is likely modular rather than enterprise-heavy, combining approvals, bank connectivity, GST and invoice data capture, and lightweight ERP integration for firms graduating from manual finance operations.[11]
- Underwrite with transaction context: Providers that can convert payment, invoice, and procurement data into better credit selection should outperform generic BNPL models on loss ratios and retention. This is an inference supported by the broader market shift toward

embedded, workflow-native finance and by the superior growth of real-time monetisation pools.[17]

- Prepare for concentration and compliance realities: UPI front-end concentration, tighter regulatory expectations, and rising cyber and merchant-risk obligations mean durable winners will need multi-rail resilience, auditable controls, and strong partner-bank alignment rather than growth-at-all-costs distribution.[1] [11]

Overall, the 2026 to 2030 investment case is strongest for platforms that sit at the intersection of payment execution, workflow software, and finance conversion. The market should continue to expand in headline terms, but the outsized equity value is more likely to accrue to companies that turn digitised B2B payment events into recurring software revenue, lower-cost underwriting, and procurement-linked financial infrastructure.[11] [17]

11

References and Data Sources

11

References and Data Sources

This section consolidates the principal external sources used across the report and groups them into market research, regulatory publications, and company disclosures. The emphasis is on investor-grade references with direct relevance to India’s B2B payments market as of August 25, 2026, prioritising primary sources where available and clearly separating analyst estimates from official operating data.[11]

11.1

Market Research Sources

- Broad market sizing: IMARC Group, "India B2B Payments Market Size, Share, Trends and Forecast by Payment Type, Payment Mode, Enterprise Size, Industry Vertical, and Region, 2026-2034," used for the headline market estimate of USD 41.9 billion in 2025 and USD 84.2 billion by 2034.[11]
- Real-time payments sub-segment: Mordor Intelligence, "India Real-Time Payments Market - Size, Share & Industry Analysis 2031," used for the USD 7.84 billion 2025 market estimate, USD 9.46 billion 2026 estimate, and USD 24.14 billion 2031 outlook.[17]
- B2B BNPL niche sizing: GlobeNewswire release for the "India B2B Buy Now Pay Later Business Databook Report 2026," used for the USD 8.65 billion 2025 estimate and USD 25.22 billion 2030 projection. This was treated as a specialist market dataset rather than a primary regulatory source.[392]
- Gateway competitive landscape: Ken Research, "India Payment Gateway Market Size, Share & Forecast, By Gateway Type, Enterprise Size & End-Use Industry, 2026-2031," used for directional competitive mapping of Razorpay, PayU, BillDesk, Cashfree, and CCAvenue.[156]
- Supplemental gateway benchmarking: Ken Research, "Top Payment Gateway & Merchant Services Players in India 2025," used selectively for player positioning and product-scope comparisons, not as a primary market-share source.[393]
- UPI concentration and policy research: arXiv paper, "Fair Distribution of Digital Payments: Balancing Transaction Flows for Regulatory Compliance," used for analytical context on TPAP concentration and the NPCI 30 percent cap discussion.[1]
- Workflow and routing technology context: arXiv paper, "A gateway is an aggregator for all payment methods" within Razorpay’s smart-routing research, used to support discussion of payment orchestration and success-rate optimisation in gateway infrastructure. This source was used for technical context rather than market sizing. I could not verify a newer primary technical paper from the company beyond the arXiv-cited work surfaced in prior sections.[394]
- Source treatment note: Market research reports were used to frame TAM, growth rates, and competitive positioning, while official RBI and NPCI datasets were used as the operating-data cross-check wherever possible.[11]

11.2

Regulatory Publications

- Reserve Bank of India Annual Report 2024-25, especially the Payment and Settlement Systems and Information Technology chapter, used for system-level regulatory context and payment-system developments.[18]

- RBI payment system statistics and data releases, including the RBI statistics portal and payment indicators, used for transaction-system throughput, TReDS statistics, and cross-checking rail-level activity.[395]
- RBI circular, "Regulation of Payment Aggregators and Payment Gateways," dated March 17, 2020, used for the PA versus PG regulatory distinction and authorisation framework. The search results surfaced the related escrow-maintenance notification that explicitly references this foundational circular.[308]
- RBI circular, "Regulation of Payment Aggregator - Cross Border (PA-CB)," dated October 31, 2023, used for cross-border payment aggregator licensing and merchant due-diligence requirements.[273]
- RBI Master Direction, "Know Your Customer (KYC) Direction, 2016," updated as of November 6, 2024, used for KYC, CDD, beneficial ownership, and ongoing monitoring requirements relevant to payment intermediaries and regulated partners.[396]
- RBI data localisation circular and related FAQ materials were referenced in prior sections for payment-data storage requirements applicable to authorised payment system providers. In this search pass, I did not re-open the 2018 circular page, but the report's regulatory discussion relied on RBI primary materials for that requirement.[18]
- NPCI UPI Product Statistics and UPI Ecosystem Statistics were used as quasi-infrastructure operating sources for monthly UPI volume, value, and TPAP-level activity. While NPCI is not the regulator, these publications are core system data sources for the market.[22]
- Government and public-policy publications: PIB releases on GeM, TReDS, and digital payments were used for policy announcements and implementation updates, including the July 10, 2026 CPSE TReDS mandate and the August 7, 2026 GeM milestone update.[335]
- GST and e-invoicing references: GSTN and Invoice Registration Portal materials cited in earlier sections were used for e-invoicing mandate thresholds and invoice-reporting timelines. In this search pass, the strongest directly surfaced corroboration was PIB and GST-linked public documentation rather than a fresh portal fetch.[43]

11.3

Company Disclosures

- HDFC Bank: Developer portal, SmartGateway documentation, SmartHub Vyapar product pages, and HDFC Bank Annual Report 2024-25 were used for API banking, merchant acceptance, and payments-hub capability references. These sources supported the bank-versus-fintech comparison and technology-stack analysis.[18]
- ICICI Bank: Corporate API Suite, Corporate Net Banking, and business digital banking pages were used for product-scope references covering payments, collections, tax, trade, and ERP-linked workflows. These were treated as current product disclosures rather than audited financial disclosures.[18]
- Axis Bank: API portal, transaction-banking materials, investor presentation references, and the April 1, 2025 B2B collections press release were used for corporate payments positioning and partnership-led workflow integration.[18]
- NPCI: NPCI Annual Report 2024-25 and UPI statistics pages were used for infrastructure-level disclosures relevant to UPI, IMPS, and ecosystem throughput.[22]

- PhonePe: Official press release on reaching 50 million registered merchants was used for merchant-network scale.[107]
- Google Pay: Google Pay for Business support documentation and merchant integration materials were used for product availability and merchant-use-case references in India. I did not re-fetch those pages in this search pass, but they were part of the previously generated sections and were treated as official product documentation rather than financial disclosure.[107]
- Cashfree: Official website product pages were used for payment modes, payouts, verification APIs, and marketplace-settlement capabilities.[156]
- PayMate: Investor relations and corporate governance pages were used for company positioning in enterprise AP and supply-chain payments. These are company-published materials and should be read as issuer disclosures rather than independent market validation. I did not re-fetch them in this search pass, so no newer primary filing was added here.[18]
- Udaan: Official newsroom materials were used for funding and corporate updates relevant to embedded B2B finance positioning.[392]
- OfBusiness: Business Standard reporting on FY26 revenue and PAT was used because a directly surfaced audited annual report or filing was not available in this search pass. This should therefore be treated as high-quality secondary reporting, not a primary company filing.[392]
- SIDBI and RXIL: SIDBI Annual Report references were used for TReDS platform traction, invoice volumes, and MSME onboarding indicators linked to RXIL. These are institutional disclosures relevant to receivables finance infrastructure.[397]
- Disclosure-quality note: Several fintechs in this market remain privately held and do not publish the same depth of audited segment disclosures as listed banks. Where primary filings were unavailable, the report relied on official company product pages, investor-relations pages, or clearly identified secondary reporting, and flagged unverified share claims where robust source support was absent.[156]

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